Abercrombie & Fitch Co. (ANF): 1Q26 Earnings Review: Reiterated FY26 guide despite moving pieces

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Despite the EMEA-driven softness weighing on ANF's Hollister comp this quarter, we ultimately view the 36% three-year stack as a good result given the setup. Paired with sturdier margins and reiterated FY topline guide, we believe the 1Q print ultimately assuaged enough of investors' mounting concerns that had formed through the quarter. Although we don't expect a material sequential improvement in the comp until 2H we note a few silver linings from management commentary: 1) Weakness is broadly relegated to specific pockets in EMEA, including transient impacts to shopping patterns in the Mid-East, with both banners faring well in the Americas and APAC; 2) ANF protected gross margin and delivered both AUR improvement and volume growth despite what appeared to be a far more intense promotional cadence intraquarter (we believe list price increases broadly offset promotional depth); and 3) Consumer engagement with the Spring/Summer assortment has been favorable, with denim demand resolute.

True, reiterated FY26 EPS guide despite the surprisingly soft forecast for 2Q puts more pressure on 2H recovery, but we see operating margin delivery at the low end of the 12.0% to 12.5% range as deliverable thanks to a combination of cost controls and pricing-driving gross margin support. With earnings trimmed slightly (higher tax guide accounts for about 15c of pressure alone) but margin intact, we still believe ANF's undemanding valuation makes for a favorable risk/reward setup from here, hence our reiterated Buy rating.

How our estimates change: For 2Q26, we lower our Abercrombie/Hollister comp to 0%/-1% (from 2%/3%), resulting in total comp of -1% (previously 2.5%) and sales of $1,252mil (previously $1,263.6mil), somewhat bolstered by better non-comp contribution to sales. We expect gross margin of 61.8% (previously 62.1%) driven by -120bps of tariff headwinds offset by +30bps from AUR growth and +10bps of freight tailwind. With -190bps of selling margin delev (store, marketing expenses) and -100bps of G&A margin delev (lapping lower incentive comp), we expect a 10.2% operating margin (previously 13.0%). As a result, we take adjusted diluted EPS to $1.99 from $2.53.

Maintaining a flattish Abercrombie comp in 2H26 but reducing 3Q26 Hollister comp by -100bps, we expect total FY26 comp for ANF of 1% (previously 1.9%) and total sales of $5,466.5mil (previously $5,459.8mil). The combination of AUR growth, tariff tailwinds, and slight freight headwinds net to +30bps of GM leverage YoY to 61.8% for the year. Flowing through backhalf YoY moderation in selling and G&A margins, we expect FY26 operating margin of 12.0% (unchanged). We lower FY26 adjusted

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diluted EPS by -8c to $10.45, flowing through 15c of incremental tax headwind as well. For FY27/28, we lower our Hollister comp estimates, taking total ANF comp down -30bps/-10bps to 2.2%/1.9%. However, we raise FY27/FY28 adjusted diluted EPS by +13c/+14c to $11.60/$12.55 flowing through more favorable Other Operating Income and incremental share repurchases considering ANF's commitment to returning its strong cashflow to shareholders.

Summarizing 1Q26: ANF reported adjusted diluted EPS of $1.47, above GSe/VAe consensus of $1.24/$1.27. Total sales came in at $1,113.8mil, compared to GSe/VAe of $1,113.8/$1,122.4mil. Total comparable store sales were reported at -1%, below GSe/VAe of 1.0%/0.3%. Adjusted gross margin came in at 62.8%, expanding +80bps, above GSe/VAe of 60.7%/60.4%. Adjusted operating margin came in at 8.0%, contracting -130bps, above GSe/VAe of 6.6%/6.8%. Below the line, there was a -3c impact to diluted EPS from a higher tax rate of 27.6% compared to GSe of 26.0%.

Exhibit 1: Strong bottom-line beat but Hollister comp below GS and street expectations
ANF 1Q26 Earnings Variance

ANF Earnings Variance for 1Q26

Press release at 7.30am ET

	1Q26A	GSe	Var.	1Q25	Var.	VAe	Var.
Sales	1,113.8	1,113.8	0.0%	1,097.3	1.5%	1,122.4	-0.8%
COGS	413.8	437.9	-5.5%	417.1	-0.8%	444.2	-6.8%
Gross Profit	**700.0**	**675.9**	**3.6%**	**680.2**	**2.9%**	**678.2**	**3.2%**
Selling	431.2	417.1	3.4%	399.9	7.8%	421.9	2.2%
G&A	182.8	184.2	-0.8%	174.9	4.5%	178.4	2.4%
Other Loss	(2.8)	1.0	-376.3%	3.8	-173.0%	0.9	-423.9%
Adj. Operating Profit	**88.8**	**73.6**	**20.7%**	**101.5**	**-12.5%**	**76.6**	**15.9%**
Interest Exp.	(5.3)	(4.5)	-17.5%	(6.8)	22.1%	(4.6)	-15.6%
Pre-Tax income	94.1	78.1	20.5%	108.3	-13.1%	81.2	15.9%
Tax	26.0	20.3	27.9%	26.6	-2.3%	21.1	23.0%
NCI	1.0	0.9	5.1%	1.3	-25.7%	1.7	-42.4%
Adj. Net Income	67.1	56.9	18.1%	80.4	-16.5%	58.4	15.0%
Adj. EPS	**$1.47**	**$1.24**	**18.9%**	**$1.59**	**-7.5%**	**$1.27**	**15.5%**
DSO	45.7	46.0	-0.7%	50.6	-9.8%	45.9	-0.5%
I/S Ratios							
Gross Margin	62.8%	60.7%	210 bps	62.0%	80 bps	60.4%	240 bps
Selling Ratio	38.7%	37.4%	130 bps	36.4%	230 bps	37.6%	110 bps
G&A Ratio	16.4%	16.5%	(10 bps)	15.9%	50 bps	15.9%	50 bps
Operating Margin	8.0%	6.6%	140 bps	9.3%	(130 bps)	6.8%	120 bps
Tax Rate	27.6%	26.0%	160 bps	24.5%	310 bps	26.0%	160 bps
Net Margin	6.0%	5.1%	90 bps	7.3%	(130 bps)	5.2%	80 bps
Segment Details							
Abercrombie	564.7	556.2	1.5%	547.9	3.1%	562.3	0.4%
Hollister	549.1	557.6	-1.5%	549.4	0.0%	560.1	-2.0%
Net Sales	**1,113.8**	**1,113.8**	0.0%	**1,097.3**	1.5%	**1,122.4**	-0.8%

Growth Details

1Q26A Segment Detail

	Net Sales	New Store/Other	FX	Comp Sales
Abercrombie	3.1%	2.4%	0.7%	0.0%
Hollister	0.0%	0.6%	1.3%	-2.0%
Total ANF	**1.5%**	**1.5%**	**1.0%**	**-1.0%**

Comp	vs GSe	vs VAe
Abercrombie	(100 bps)	40 bps
Hollister	(300 bps)	(310 bps)
Total ANF	(200 bps)	(130 bps)

GSe Segment Detail

	Net Sales	New Store/Other	FX	Comp Sales
Abercrombie	1.5%	0.0%	0.5%	1.0%
Hollister	1.5%	0.0%	0.5%	1.0%
Total ANF	**1.5%**	**0.0%**	**0.5%**	**1.0%**

VAe Segment Detail

	Net Sales	New Store/Other	FX	Comp Sales
Abercrombie	2.6%	3.0%		-0.4%
Hollister	2.0%	0.8%		1.1%
Total ANF	**2.3%**	**2.0%**	**0.8%**	**0.3%**

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

FY26 guidance summary: ANF reiterated FY26 guidance in-line with GSe and VAe, including net sales of 3% to 5%, operating margin of 12% to 12.5%, and diluted EPS of

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$10.20 to $11.00 compared to GSe/VAe of $10.53/$10.72. ANF issued 2Q26 guidance below GSe and VAe, including net sales growth of 2% to 4%, operating margin of ~10%, and EPS of $1.80 to $2.00 below GSe/VAe of $2.53/$2.55.

Exhibit 2: Reiterated FY26 guidance and 2Q26 guidance below GS and street expectations
ANF 2Q26 and FY26 Guidance vs Prior GSe and VAe

ANF 2Q26 Guidance Variance			
	Guidance	Prior GSe	VAe
Net Sales	2% to 4%	4.6%	3.7%
Operating Margin	~10%	13.0%	13.0%
Effective Tax Rate	~32%	31.0%	30.0%
EPS	$1.80 to $2.00	$2.53	$2.55
Diluted shares outstanding	~45mil	45.2	45.0
Share repo	At least $150mil	120	113

ANF FY26 Guidance Variance				
	Guidance	Prior Guidance	Prior GSe	VAe
Net Sales	3% to 5%	3% to 5%	3.7%	3.8%
Operating Margin	12% to 12.5%	12% to 12.5%	12.0%	12.2%
Effective Tax Rate	~30%	~29%	29.0%	28.9%
Diluted EPS	$10.20 to $11.00	$10.20 to $11.00	$10.53	10.72
Diluted shares outstanding	~45mil	~45mil	44.8	44.6
Share repo	~$450mil	~$450mil	450.0	44.2
CapEx	$200mil to $225mil	$200mil to $225mil	214.7	217.9
Net store openings (closures)	~30	~30	30	31
Openings	50	55		
Closures	20	25		

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Valuation & Risks

We are Buy rated on ANF with a $109 (unchanged) 12-month price target based on a slightly lower target P/E multiple of 9x (down 0.5x) our Q5-Q8 EPS estimate (this represents a narrower 25% discount relative to the XRT vs our prior relative discount of 30%). In our view, this narrower discount is warranted by what we see as more stable earnings power as reflected by our upwards earnings revisions. **Key downside risks include:** (i) brand differentiation unclear and (ii) store footprint approaching untested waters, albeit with a better toolkit, (iii) sequentially weakening comp sales momentum.

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ANF	12m Price Target: **$109.00**	Price: **$81.42**	Upside: **33.9%**

Buy

Market cap: $3.7bn
Enterprise value: $3.0bn
3m ADTV: $121.0mn
United States
Americas Specialty and Apparel Retail
M&A Rank: 3

GS Forecast

	1/26	1/27E	1/28E	1/29E
Revenue ($ mn) New	**5,266.3**	**5,466.5**	**5,674.8**	**5,839.5**
Revenue ($ mn) Old	5,266.3	5,459.8	5,683.7	5,855.4
EPS ($) New	**9.86**	**10.45**	**11.60**	**12.55**
EPS ($) Old	9.86	10.53	11.47	12.41
P/E (X)	9.0	7.8	7.0	6.5
EV/EBITDA (X)	4.3	3.6	3.0	2.6
FCF yield (%)	8.8	12.0	14.1	15.0
Dividend yield (%)	–	–	–	–
Net debt/EBITDA (X)	(0.9)	(0.8)	(0.9)	(1.1)

	4/26	7/26E	10/26E	1/27E
EPS ($)	1.47	1.99	2.78	4.27

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 27 May 2026 close.

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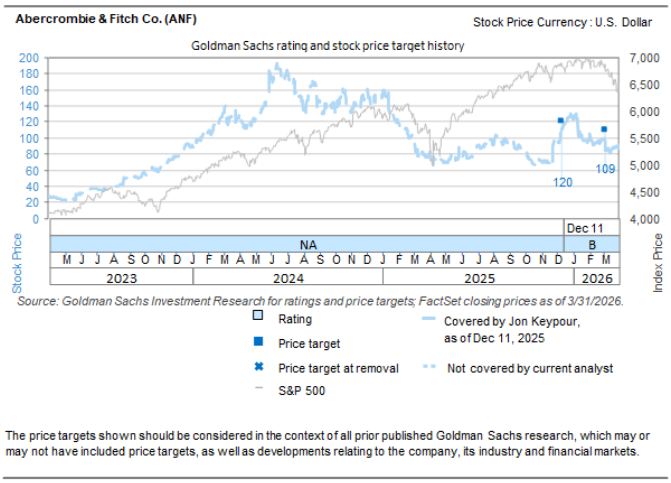
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Abercrombie & Fitch Co. (ANF)

Date of report	Target price ($)	Closing price ($)
05-Mar-26	109.00	88.40
11-Dec-25	120.00	110.13

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